



Counterfeit Materials Prevention

Introduction

Counterfeiting is growing in exponential proportions with respect to the types of:

1. Products being counterfeited
2. Industries affected
3. Potential consequences caused by counterfeits

If this threat is not adequately addressed, counterfeit items have the potential to seriously compromise the safety and operational effectiveness of our products.

Reference

- AS9100(D) Section 8.1.4
- Quality Manual Section 8.1.4
- Process Manual Section 3.13

Purpose

The objective of this training is to raise awareness of:

1. The risks and impacts of counterfeit parts infiltrating the supply chain.
2. Best practices to eliminate or mitigate those risks
3. The AG Composites counterfeit prevention requirements for suppliers

Impact of Counterfeit Parts

Counterfeit parts can cause:

1. **Personal injury**
2. **Mission failure**
3. Reduced reliability and product recall
4. Potential loss of contracts
5. Shutdown of manufacturing lines
6. Negative cost and schedule impacts
7. Penalties for companies and individuals
8. Damage to our image

Procedure

Avoidance

1. Procuring directly from the Original Component or Equipment manufacturer (OCM/OEM) is the lowest risk.
2. OCM Authorized Distributors are the next lowest risk.
 - a. OCM Authorized distributors have documented sales agreements with manufacturers.
 - b. Inventory manager should verify authorized distributor status with the manufacturer.
3. AG POs require suppliers to use OCMs or their authorized sources for products that will be delivered to Lockheed Martin.

AG Supplier Requirements

PREVENTION OF COUNTERFEIT PARTS: Suppliers shall ensure through their processes and/or a formal program against the receipt of counterfeit materials into their inventory, against their use in manufacturing, and against their being sold to other suppliers. Supplier shall not deliver counterfeit work or suspect counterfeit work to AG Advanced Technologies. All parts and materials shall be procured only through Original Equipment Manufacturers (OEMs)/Original Component Manufacturers (OCMs) or their franchised dealer or distributors unless pre-approval has been granted by AG Advanced Technologies. Knowingly supplying material deemed or suspected as counterfeit will be considered unethical business practice and would result in a supplier investigation, reporting and possible removal from AG Advanced Technologies Approved Supplier list.

Procedure

Detection

Identify the issue: Carefully inspect the items and identify any visual discrepancies or inconsistencies that suggest they may be counterfeit.

Red Flags:

 no certificate of conformance	 item marking issues	 package issues
 obsolete item	☒ batch/lot # issues	☒ spelling/return address unknown
 unknown supplier	☒ doesn't match previous items	☒ poor quality or materials

Procedure

Mitigation

1. Isolate the parts: Quarantine the suspect counterfeit parts to prevent them from entering the production line or being used in any product.
2. Document thoroughly: Create detailed documentation including photos, part numbers, lot numbers, supplier information, and any evidence of the suspected counterfeiting.
3. Inform your supplier: Provide evidence and request an explanation. If necessary, require corrective action from the supplier.
4. Conduct an internal investigation: Determine the extent of the problem and potential risks within the supply chain.
5. Communicate with the customer: Rework, replace, or repair any fielded product in conjunction with customer input.
6. Determine if the authorities should be notified and which authorities. (FAA, local police, FBI, etc.)

Procedure

Disposition

1. Store counterfeit parts or materials in quarantine, clearly identified as nonconforming/counterfeit product pending a review by your organization's management and legal representation.
2. Do not return Counterfeit to the supplier in such a way that they could be reintroduced into the supply chain to be sold again to another victim.
3. Legal authorities may be contacted to initiate an investigation into the counterfeiting activity. Parts may be required as evidence.
4. Upon conclusion of any investigation, upper management will authorize the disposition and method for disposing of any suspect/counterfeit items.

Conclusion

- Counterfeit materials are a serious threat and can compromise the integrity of the important products we provide.
- The use of Original Component or Equipment manufacturers and their authorized sources results in the least risk for counterfeit items infiltrating our products.
- If you suspect counterfeit items may have been supplied to AG, you must notify the quality manager immediately.
- Counterfeit risk must be controlled throughout the entire supply chain.
- Thank you for your continued efforts to ensure counterfeit components do not infiltrate our supply chains.

Quiz

1. Name two negative impacts of counterfeit parts.
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2. What is the best way to avoid receiving counterfeit parts?
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3. Does AG require their suppliers to have a counterfeit avoidance program?
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4. What are two red flags to easily detect potential counterfeit parts?
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5. What is the first thing you do if you suspect a part is a fake or counterfeit?
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6. Should you throw away or return the items you suspect as counterfeit?
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